Goldman Sachs Research

Equity Research

22 July 2026 | 11:39PM EDT

# Tesla Inc. (TSLA)

## Business and technical progress in key markets, and costs of investments, remain in focus; 2Q wrap

| TSLA | 12m Price Target: **$360.00** | Price: **$374.01** | Downside: **3.7%** |
|---|---|---|---|

### Key takeaways and implications

**Tesla's 2Q non-GAAP EPS came in below both consensus estimates and our expectation driven by lower margins.** This included from lower gross margins in the Automotive and Energy segments, as well as from higher opex. We think the lower 2Q profits were somewhat surprising to investors after the strong 2Q vehicle delivery report from early July. Specifically, 2Q revenue/gross margins/EBIT/non-GAAP EPS of $28.2 bn/16.8%/$398 mn/$0.33 compared to company-compiled consensus at $27.6 bn/19.5%/$1,503 mn/$0.55 and GS at $28.5 bn/19.8%/$1,805 mn/$0.58.

**We think commentary on Tesla's progress and outlook in key markets will likely be more of a focus for investors than the 2Q results**, including those that are AI-related (e.g. FSD/robotaxis and Optimus), and in more traditional areas including EVs and energy. There were some signs of progress this quarter. For example: 1) Tesla commented on good commercial traction with FSD, especially in North America where management stated that attach rates are ~55% on new vehicle deliveries; 2) Tesla disclosed that it has had no material crash incidents in ~380K miles with its driverless robotaxis; 3) Tesla exited the quarter with its highest vehicle backlog in several years, and we think the Y L product cycle in western markets and FSD can be positive volume/margin drivers. However, Tesla also described Optimus as being a complex technical challenge with a likely quite flat and long initial ramp on the S-curve. In addition, the scale of Tesla's robotaxi fleet is still small relative to some competitors. Finally, on the cost to fund these investments, the company suggested capex could rise for another two to three years, and that its opex is also likely to increase.

**We maintain our Neutral rating on the stock. We continue to believe that Tesla can benefit over time from its opportunities in**

## NEUTRAL


**Mark Delaney, CFA**
+1(212)357-0535 | mark.delaney@gs.com
Goldman Sachs & Co. LLC

**Will Bryant**
+1(212)934-4705 | will.bryant@gs.com
Goldman Sachs & Co. LLC

**Aman Gupta**
+1(212)357-1549 | aman.s.gupta@gs.com
Goldman Sachs & Co. LLC


### Key Data

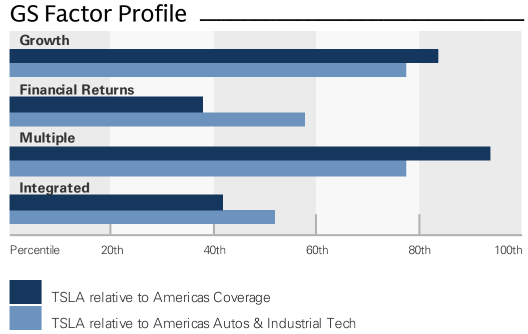
Market cap: $1.3tr
Enterprise value: $1.3tr
3m ADTV: $19.4bn
United States
Americas Autos & Industrial Tech
M&A Rank: 3

### GS Forecast

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue ($ mn) New** | **94,827.0** | **111,756.6** | **128,687.5** | **144,939.1** |
| Revenue ($ mn) Old | 94,827.0 | 112,367.6 | 127,030.5 | 139,995.9 |
| EBITDA ($ mn) | 14,596.0 | 15,928.2 | 24,825.2 | 31,054.2 |
| EBIT ($ mn) | 4,355.0 | 4,647.4 | 9,311.3 | 12,343.2 |
| **EPS ($) New** | **1.09** | **1.00** | **2.00** | **2.55** |
| EPS ($) Old | 1.09 | 1.65 | 2.35 | 2.75 |
| P/E (X) | NM | NM | NM | 146.6 |
| Dividend yield (%) | 0.0 | 0.0 | 0.0 | 0.0 |
| Net debt/EBITDA (X) | (0.8) | (1.3) | (0.6) | (0.5) |

| | 6/26 | 9/26E | 12/26E | 3/27E |
|---|---|---|---|---|
| EPS ($) | 0.05 | 0.31 | 0.43 | 0.24 |

### GS Factor Profile




Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

NEUTRAL

# Tesla Inc. (TSLA)

Rating since Jun 25, 2023

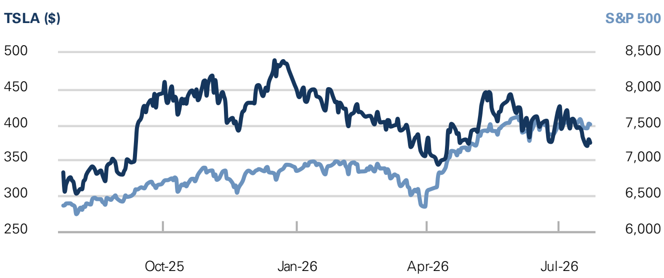
## Ratios & Valuation

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| P/E (X) | NM | NM | NM | 146.6 |
| EV/EBITDA (X) | 78.1 | 80.9 | 56.4 | 45.3 |
| EV/sales (X) | 12.0 | 11.5 | 10.9 | 9.7 |
| FCF yield (%) | 0.5 | (0.5) | (0.5) | 0.0 |
| EV/DACF (X) | 88.9 | 88.7 | 62.7 | 50.2 |
| CROCI (%) | 15.9 | 16.1 | 21.0 | 20.6 |
| ROE (%) | 5.0 | 4.4 | 8.3 | 9.3 |
| Net debt/EBITDA (X) | (0.8) | (1.3) | (0.6) | (0.5) |
| Net debt/equity (%) | (13.5) | (23.0) | (13.3) | (12.0) |
| Interest cover (X) | 12.9 | 12.7 | 23.3 | 30.9 |
| Inventory days | 57.3 | 56.2 | 61.0 | 60.8 |
| Receivable days | 17.3 | 15.6 | 15.2 | 15.1 |
| Days payable outstanding | 60.7 | 64.5 | 72.2 | 74.1 |

## Growth & Margins (%)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue growth | (2.9) | 17.9 | 15.1 | 12.6 |
| EBITDA growth | (15.6) | 10.4 | 74.2 | 31.0 |
| EPS growth | (46.5) | (8.0) | 99.4 | 27.5 |
| DPS growth | NM | NM | NM | NM |
| Gross margin | 18.0 | 19.3 | 20.9 | 21.0 |
| EBIT margin | 4.6 | 4.2 | 7.2 | 8.5 |

## Price Performance




| | 3m | 6m | 12m |
|---|---|---|---|
| Absolute | (3.5)% | (16.8)% | 12.6% |
| Rel. to the S&P 500 | (8.1)% | (23.3)% | (5.2)% |

Source: FactSet. Price as of 22 Jul 2026 close.

## Income Statement ($ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue | 94,827.0 | 111,756.6 | 128,687.5 | 144,939.1 |
| Cost of goods sold | (77,733.0) | (90,220.0) | (101,747.7) | (114,486.6) |
| SG&A | (6,328.0) | (7,756.3) | (7,869.5) | (8,146.3) |
| R&D | (6,411.0) | (9,132.9) | (9,759.0) | (9,963.0) |
| Other operating inc./(exp.) | – | – | – | – |
| **EBITDA** | **10,503.0** | **11,593.2** | **20,193.9** | **26,456.0** |
| Depreciation & amortization | (6,148.0) | (6,945.8) | (10,882.6) | (14,112.8) |
| **EBIT** | **4,355.0** | **4,647.4** | **9,311.3** | **12,343.2** |
| Net interest inc./(exp.) | 1,342.0 | 1,250.0 | 1,050.0 | 1,005.0 |
| Income/(loss) from associates | – | – | – | – |
| **Pre-tax profit** | **5,346.0** | **5,281.4** | **10,361.3** | **13,348.2** |
| Provision for taxes | (1,439.0) | (1,416.1) | (2,175.9) | (2,803.1) |
| Minority interest | (61.0) | (62.0) | (70.0) | (88.0) |
| Preferred dividends | – | – | – | – |
| **Net inc. (pre-exceptionals)** | **3,846.0** | **3,803.2** | **8,115.4** | **10,457.1** |
| **Net inc. (post-exceptionals)** | **3,794.0** | **3,803.2** | **8,115.4** | **10,457.1** |
| **EPS (basic, pre-except) ($)** | **1.19** | **1.09** | **2.15** | **2.75** |
| **EPS (diluted, pre-except) ($)** | **1.09** | **1.00** | **2.00** | **2.55** |
| **EPS (ex-ESO exp., dil.) ($)** | **--** | **--** | **--** | **--** |
| DPS ($) | – | – | – | – |
| Div. payout ratio (%) | 0.0 | 0.0 | 0.0 | 0.0 |
| Wtd avg shares out. (basic) (mn) | 3,224.8 | 3,500.6 | 3,780.7 | 3,800.7 |
| Wtd avg shares out. (diluted) (mn) | 3,526.3 | 3,789.9 | 4,055.7 | 4,097.6 |

## Balance Sheet ($ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Cash & cash equivalents | 17,950.0 | 29,265.6 | 21,912.6 | 22,340.8 |
| Accounts receivable | 4,576.0 | 4,965.3 | 5,731.9 | 6,299.1 |
| Inventory | 12,392.0 | 15,409.6 | 18,579.3 | 19,549.1 |
| Other current assets | 34,438.0 | 14,874.0 | 14,874.0 | 14,874.0 |
| **Total current assets** | **69,356.0** | **64,514.5** | **61,097.7** | **63,063.1** |
| Net PP&E | 46,670.0 | 66,924.2 | 86,081.6 | 102,008.8 |
| Net intangibles | 381.0 | 328.0 | 288.0 | 248.0 |
| Total investments | 0.0 | 0.0 | 0.0 | 0.0 |
| Other long-term assets | 22,113.0 | 25,777.0 | 25,777.0 | 25,777.0 |
| **Total assets** | **137,806.0** | **156,818.8** | **172,519.3** | **190,371.9** |
| Accounts payable | 13,371.0 | 18,491.5 | 21,741.7 | 24,762.2 |
| Short-term debt | – | – | – | – |
| Current lease liabilities | 1,640.0 | 1,418.0 | 1,418.0 | 1,418.0 |
| Other current liabilities | 16,703.0 | 18,683.0 | 18,683.0 | 18,683.0 |
| **Total current liabilities** | **31,714.0** | **38,592.5** | **41,842.7** | **44,863.2** |
| Long-term debt | 6,736.0 | 7,924.0 | 7,924.0 | 7,924.0 |
| Non-current lease liabilities | – | – | – | – |
| Other long-term liabilities | 16,491.0 | 17,656.0 | 17,656.0 | 17,656.0 |
| **Total long-term liabilities** | **23,227.0** | **25,580.0** | **25,580.0** | **25,580.0** |
| **Total liabilities** | **54,941.0** | **64,172.5** | **67,422.7** | **70,443.2** |
| Preferred shares | – | – | – | – |
| **Total common equity** | **82,137.0** | **91,985.2** | **104,435.6** | **119,267.7** |
| Minority interest | 728.0 | 661.0 | 661.0 | 661.0 |
| **Total liabilities & equity** | **137,806.0** | **156,818.8** | **172,519.3** | **190,371.9** |
| BVPS ($) | 23.29 | 24.27 | 25.75 | 29.11 |

## Cash Flow ($ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Net income | 3,855.0 | 4,606.2 | 8,115.4 | 10,457.1 |
| D&A add-back | 6,148.0 | 6,945.8 | 10,882.6 | 14,112.8 |
| Minority interest add-back | – | – | – | – |
| Net (inc)/dec working capital | 642.0 | 2,409.6 | (686.1) | 1,483.4 |
| Others | 4,102.0 | 4,168.0 | 4,335.0 | 4,375.0 |
| **Cash flow from operations** | **14,747.0** | **18,129.6** | **22,647.0** | **30,428.3** |
| Capital expenditures | (8,527.0) | (25,282.0) | (30,000.0) | (30,000.0) |
| Acquisitions | (6,951.0) | 17,338.0 | – | – |
| Divestitures | – | – | – | – |
| Others | 0.0 | (7.0) | 0.0 | – |
| **Cash flow from investing** | **(15,478.0)** | **(7,951.0)** | **(30,000.0)** | **(30,000.0)** |
| Dividends paid | – | – | – | – |
| Share issuance/(repurchase) | – | – | – | – |
| Inc/(dec) in debt | 40.0 | 757.0 | – | – |
| Others | 1,684.0 | 417.0 | – | – |
| **Cash flow from financing** | **1,620.0** | **1,137.0** | **0.0** | **0.0** |
| **Total cash flow** | **889.0** | **11,315.6** | **(7,353.0)** | **428.3** |
| Free cash flow | 6,116.0 | (7,189.4) | (7,353.0) | 428.3 |
| Free cash flow per share (basic) ($) | 1.90 | (2.05) | (1.94) | 0.11 |

Source: Company data, Goldman Sachs Research estimates.

**several large markets, including autonomy, robotics, EVs and energy. However, the trajectory to that better profitability/FCF appears somewhat lower than we had previously expected over the near-to-medium term** given headwinds to margins in 2Q and ongoing planned increases in investments in both opex and capex. In addition, while we expect improved growth from these areas to support an attractive long-term EPS CAGR, we also believe the magnitude and pace of that EPS improvement will be somewhat limited by competition (e.g. Tesla is facing several competitors in AVs, EVs, Energy and robotics) and by ongoing R&D/development needs on technology (for example with Optimus). Finally, we see valuation as full.

We lower our EPS estimates for 2026-2028 on lower EBIT margins, and adjust our 12-month price target to $360 from $390.

**Results**

Tesla reported 2Q26 revenue of $28,236 mn (up 26% qoq and up 26% yoy) which was 1% below GS at $28,478 mn, 7% above the Street (FactSet) at $26,423 mn, and 2% above company-compiled consensus at $27,584 mn.

The total company gross margin (including SBC) was 16.8%, well below GS at 19.8%, company-compiled consensus at 19.5%, and the Street (FactSet) at 19.3%. The 1Q26 margin was 21.1%, and 2Q25 was 17.2%. By segment:

- The automotive gross margin (including SBC, excluding regulatory credits) was 16.3%, well below both GS and the Street at 18.5%. Management cited costs of interest rate incentives (e.g. promotional APRs) and commodity costs as headwinds. The earnings deck cited lower vehicle ASPs (including due to mix) as a yoy headwind. Per the company, the non-GAAP auto gross margin would have been flattish sequentially when backing-out one-time benefits that were realized in 1Q.
- The Energy segment gross margin of 20.4% was impacted by vendor cell related warranty costs of ~$240 mn, and excluding this the margin would have been ~28% (similar to 1Q26 when excluding ~$200 in one-time benefits from a tariff refund).
- Services gross margin of 14.1% in 2Q was a record high.

EBIT (including SBC) of ~$398 mn (1.4% of sales) was well below our forecast of ~$1,805 mn (6.3% of sales) and company-compiled consensus of $1,503 mn (5.4% of sales).

Company-reported non-GAAP diluted EPS (excluding SBC and non-cash mark to market adjustments) was $0.33, $0.25 below GS at $0.58, $0.20 below the Street at $0.53 and $0.22 below company-compiled consensus at $0.55.

Cash, cash equivalents, and investments were down by $1.2 bn qoq to $43.5 bn, with FCF of -$1,092 mn in 2Q.

**Product updates and roadmap**

On automotive, the company highlighted its strong deliveries as being supported by record deliveries in several emerging markets like South Korea, Australia, Japan, and Colombia. Additionally, Tesla stated that the Semi truck is on track for start of production in 2026.

On FSD, Tesla FSD active subscribers grew to 1.5 mn (up 16% qoq and 56% yoy), and the

company began v14 lite rollouts to U.S. and South Korean AI3/HW3 owners. Notably, FSD take-rates in North America were a record 55% in the quarter on new vehicle deliveries. Additionally, robotaxis are now running early versions of v15, which Tesla believes can enhance safety and performance.

On robotaxi, Tesla highlighted the start of production for its Cybercab purpose-built AV in 2Q, and expansions of unsupervised rides to Miami, Tampa, and Orlando in July. The deck indicates cumulative paid robotaxi miles approaching 2.5 mn (up from ~1.6-1.8 mn as of 1Q26). Per management, over 380k of these miles were fully unsupervised across its Texas and Florida operating areas (with the remainder being accounted for by vehicles with some form of supervision). Tesla expects to grow unsupervised robotaxi miles by double digits week on week (albeit off a low base). Going forward, Tesla reiterated its approach to scaling across cities (with limited fleet scaling in each city) and targeting increasingly faster times between city launches. Cybercab deployments will likely be limited, per management, as Cybercab needs to accumulate FSD miles given the new chassis relative to Model 3/Y.

On Optimus, Tesla commented that first-gen production lines are being installed for Optimus, with anticipated production in 2026. Management reiterated that production will follow an S-curve with the initial production being consistently low for a period of time. Tesla expects Optimus units to initially go to its academy for data collection and training, suggesting to us that it could take time before Optimus is deployed for useful work and/or external shipments in a material manner.

On battery efforts, the company noted progress on ramping vehicle pack capacity in Berlin, cathode production and lithium refining in Texas, and LFP cells for its energy storage products in Nevada. Additionally, Megapack 3 and Megablock remain on track for start of production in 2026.

On other efforts, Tesla noted that capacity build-out and ramps for multi-year initiatives in AI compute, solar, battery material, and semiconductor manufacturing are under way.

On financials, management expects opex and capex to grow as it works to scale its AI and energy efforts (e.g. Optimus, Semi, Cybercab, and solar). Tesla reiterated its expectation for capex to be >$25 bn in 2026. Management also noted they would opportunistically secure debt facility agreements to borrow up to $30 bn to support their capital deployment plans. Tesla also expects Energy margins to normalize in the low to mid 20% range longer-term, reflecting competition.

We detail results relative to GS and Street (FactSet) expectations on key financial metrics in the tables below.

**Exhibit 1: TSLA variance summary**
$ mn, except for EPS and margins

| | 2Q26 | | | | Variance | | |
|---|---|---|---|---|---|---|---|
| | Actual | GS | Street (FactSet) | Company complied consensus | vs. GS | vs. Street | vs. Company complied consensus |
| Model 3/Y | 467,762 | | | | | | |
| Other models (i.e. S/X/Cybertruck) | 12,364 | | | | | | |
| Vehicle deliveries | **480,126** | | | | | | |
| *QoQ* | *34.1%* | | | | | | |
| *YoY* | *25.0%* | | | | | | |
| | | | | | | | |
| Energy Deployments (GWh) | **13.5** | | | | | | |
| *QoQ* | *53.4%* | | | | | | |
| *YoY* | *40.6%* | | | | | | |
| | | | | | | | |
| Active FSD subscriptions (mns) | **1.5** | | | | | | |
| *QoQ* | *15.6%* | | | | | | |
| *YoY* | *55.8%* | | | | | | |
| | | | | | | | |
| Automotive ex. regulatory credits | 20,370.0 | 20,249.7 | | | | | |
| Regulatory credits | 146.0 | 390.0 | | | | | |
| Total Automotive | 20,516.0 | 20,639.7 | | 20,048.0 | (0.6%) | | 2.3% |
| Energy generation & storage | 3,139.0 | 3,829.1 | | 3,773.0 | (18.0%) | | (16.8%) |
| Service & other | 4,581.0 | 4,009.1 | | 3,763.0 | 14.3% | | 21.7% |
| **Total Revenue** | **28,236.0** | **28,477.9** | **26,423.0** | **27,584.0** | (0.8%) | 6.9% | 2.4% |
| *QoQ* | *26.1%* | *27.2%* | *18.0%* | *23.2%* | | | |
| *YoY* | *25.5%* | *26.6%* | *17.5%* | *22.6%* | | | |
| | | | | | | | |
| **Automotive gross profit (inc. SBC, ex. reg credits)** | **3,317.0** | **3,746.2** | | | (11.5%) | | |
| % of sales | 16.3% | 18.5% | 18.5% | | *-222 bps* | *-222 bps* | |
| **Total gross profit** | **4,751.0** | **5,649.3** | **5,089.0** | **5,378.0** | (15.9%) | (6.6%) | (11.7%) |
| % margin | 16.8% | 19.8% | 19.3% | 19.5% | *-301 bps* | *-243 bps* | *-267 bps* |
| | | | | | | | |
| **Operating income (GAAP, inc. SBC)** | **398.0** | **1,804.8** | **1,690.0** | **1,503.0** | (77.9%) | (76.4%) | (73.5%) |
| *% margin* | *1.4%* | *6.3%* | *6.4%* | *5.4%* | *-493 bps* | *-499 bps* | *-404 bps* |
| | | | | | | | |
| **EPS (Non-GAAP, inc. SBC)** | **$0.05** | **$0.39** | | | ($0.34) | | |
| **EPS (Non-GAAP, ex. SBC)** | **$0.33** | **$0.58** | **$0.53** | **$0.55** | ($0.25) | ($0.20) | ($0.22) |

Source: Company data, Goldman Sachs Global Investment Research, FactSet

### Updated estimates, valuation, and key risks

We lower our 2026/27/28 EPS estimates including SBC to $1.00/$2.00/$2.55 from $1.65/$2.35/$2.75 prior, driven by lower EBIT margins. Our EPS estimates excluding SBC are now $1.90/$2.80/$3.35 for 2026/27/28 respectively.

We remain Neutral rated on the stock. We lower our 12-month price target to $360 from $390 based on 150X (unchanged) applied to our updated Q5-Q8E EPS estimate including SBC. Using a similar framework to our past analysis, an upside scenario could be ~$500 (based on the 150X multiple applied to 2028E EPS ex SBC estimate), and a downside scenario could be ~$150 (based on a downside multiple of 60X our 2028E EPS inc. SBC estimate). We have an illustrative DCF scenario analysis by segment available for clients upon request.

Key downside risks to our view relate to potentially larger vehicle price reductions than we expect, increased competition in EVs, a larger than expected tariff impact or negative effects from government policy changes more generally, slower EV demand, delays with products/capabilities such as FSD/4680, key person risk, the internal control environment, margins, and operational risks associated with Tesla's high degree of vertical integration. Upside risks include faster EV adoption and/or share gain by Tesla, a stronger macroeconomic environment for new vehicle sales more generally, earlier new product launches than we expect, an earlier/larger impact from AI-enabled products (e.g., FSD, Optimus and robotaxis), and a smaller than expected tariff impact than we currently anticipate.

# Disclosure Appendix

## Reg AC

We, Mark Delaney, CFA, Will Bryant, Aman Gupta and Ayush Ghose, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

**Contributing Authors:** Mark Delaney, CFA Goldman Sachs & Co. LLC, Will Bryant Goldman Sachs & Co. LLC, Aman Gupta Goldman Sachs & Co. LLC, Ayush Ghose Goldman Sachs & Co. LLC.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

## GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

## M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

## Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

## Disclosures

**The rating(s) for Tesla Inc. is/are relative to the other companies in its/their coverage universe:** Amphenol Corp., Aptiv Plc, Aurora Innovation Inc., Belden Inc., BorgWarner Inc., Cerence Inc., ChargePoint Holdings, Flex, Ford Motor Co., General Motors Co., Gentex Corp., Innoviz Technologies, Jabil Circuit Inc., Keysight Technologies Inc., Lear Corp., Magna International Inc., Mobileye Global Inc., QuantumScape Corp., Rivian Automotive Inc., Sensata Technologies Holding, Symbotic Inc., TE Connectivity Plc, Tesla Inc., Versigent PLC, Vertiv Holdings, Visteon Corp.

## Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs has received compensation for investment banking services in the past 12 months: Tesla Inc. ($374.01)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: Tesla Inc. ($374.01)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: Tesla Inc. ($374.01)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: Tesla Inc. ($374.01)

Goldman Sachs had a non-securities services client relationship during the past 12 months with: Tesla Inc. ($374.01)

Goldman Sachs makes a market in the securities or derivatives thereof: Tesla Inc. ($374.01)

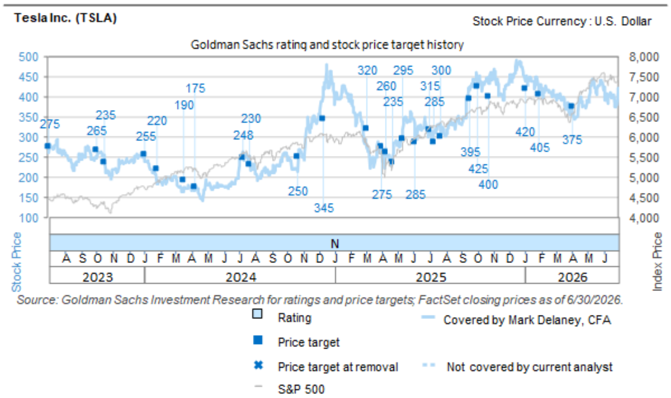
## Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

| | Rating Distribution | | | Investment Banking Relationships | | |
|---|---|---|---|---|---|---|
| | Buy | Hold | Sell | Buy | Hold | Sell |
| Global | 50% | 34% | 16% | 65% | 59% | 43% |

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

## Price target and rating history chart(s)




The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

## Target price history table(s)
### Tesla Inc. (TSLA)

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 02-Jul-26 | 390.00 | 393.45 |
| 02-Apr-26 | 375.00 | 360.59 |
| 29-Jan-26 | 405.00 | 416.56 |
| 02-Jan-26 | 420.00 | 438.07 |
| 23-Oct-25 | 400.00 | 448.98 |
| 03-Oct-25 | 425.00 | 429.83 |
| 17-Sep-25 | 395.00 | 425.86 |
| 24-Jul-25 | 300.00 | 305.30 |
| 11-Jul-25 | 285.00 | 313.51 |
| 03-Jul-25 | 315.00 | 315.35 |
| 06-Jun-25 | 285.00 | 295.14 |
| 12-May-25 | 295.00 | 318.38 |
| 23-Apr-25 | 235.00 | 250.74 |
| 10-Apr-25 | 260.00 | 252.40 |
| 03-Apr-25 | 275.00 | 267.28 |
| 05-Mar-25 | 320.00 | 279.10 |
| 10-Dec-24 | 345.00 | 400.99 |
| 24-Oct-24 | 250.00 | 260.48 |
| 24-Jul-24 | 230.00 | 215.99 |
| 10-Jul-24 | 248.00 | 263.26 |
| 09-Apr-24 | 175.00 | 176.88 |
| 18-Mar-24 | 190.00 | 173.80 |
| 25-Jan-24 | 220.00 | 182.63 |
| 03-Jan-24 | 255.00 | 238.45 |
| 19-Oct-23 | 235.00 | 220.11 |
| 02-Oct-23 | 265.00 | 251.60 |

Price targets shown in table(s) are unadjusted for corporate actions.

## Regulatory disclosures

### Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

## Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: https://www.goldmansachs.com/worldwide/india/research-analyst. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

**European Union and United Kingdom:** Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

**Japan:** Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

## Ratings, coverage universe and related definitions

**Buy (B), Neutral (N), Sell (S)** Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

**Total return potential** represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

**Coverage Universe:** A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at https://www.gs.com/research/hedge.html.

**Not Rated (NR).** The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

## Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

**European Economic Area:** Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

## General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

**Differing Levels of Service provided by Global Investment Research:** The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.